

SPIN-OFFS

Good, Bad and Ugly

New Order

A new pecking order has emerged with the Group of 20 taking over from G-8 in September to become the key forum for tackling global economic challenges. As an established voice of developing countries, India can now carve

a leadership role. There is now talk of G-2, comprising the US and China.

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PSEs on a Fast Track

It took the recession to drive home the value and worth of the public sector. While the private sector rolled back expansion

plans and threw out people, ONGC invested Rs 60,000 crore and SAIL Rs 10,000 crore in new projects and hired at IIMs.

Money Talks

The recession spawned new terms as the *slow-down* sank in. Reckless loans led to a *credit crunch* while policymakers talked *deleveraging*, *exit strategies* and a *new normal*.

Cost Cuts

Global recession trends brought home drastic cost-cutting measures. In India, over 15 million jobs were lost, limits were placed on fresh hiring, vacancies were cancelled, companies introduced voluntary retirement schemes and rationalised the compensation levels of employees. Bonuses and perks also went missing.

strong growth in labour migration involving intra-Europe, intra-Americas, the Middle East and Asia. Apart from skill transfer, immigration boosted remittances, which have been more stable than other forms of private capital inflows into developing countries and have helped finance their current accounts. The negative impact of immigration on the recipient countries' employment and wages, especially among the less-educated and less-skilled workers, has led to a backlash against immigrants in the recent years. Rising unemployment has added fuel to the fire, especially in countries like the UK, France and the Middle East. The crisis only underscores the need for governments to strengthen domestic safety nets. In the case of Asia and the EU, the crisis has highlighted the benefits of regional integration despite its shortcomings.

● Unsustainable Global Imbalances

Unbalanced growth in the deficit and surplus countries had been deemed by some as unsustainable even before the downturn, and in retrospect can be attributed as one of the causes of the recession. Exchange rate policies and foreign exchange reserve accumulation in the surplus countries led to a global savings glut and low long-term interest rates, leading to excessive debt build-up in the deficit countries. These conditions also fuelled high credit growth and asset bubbles around the world and led to the misallocation of capital. Surplus countries invested the accumulated reserves in the safe but low yielding US assets, thereby increasing the opportunity cost of holding them. Overtime, the surplus countries landed in a "Catch 22" situation—a depreciating US dollar was gradually reducing

the value of their treasury holdings, but diversifying their reserves away from the dollar holdings towards high-yielding assets also led to dollar depreciation and proved counter-productive.

The global recession has slightly narrowed the global imbalances, with the current account deficit declining in countries like the US and Central and Eastern Europe, and the current account surplus easing among the Asian and the Middle Eastern economies. Going forward, weaker global economic recovery and higher US savings rate will keep global imbalances smaller than in the past. However, the recent behaviour of the surplus economies managing their currencies suggests that imbalances will begin to widen again during the recovery, possibly sowing the seeds of the next crisis. Besides bowing down to global pressures, the surplus countries can do their part in narrowing the imbalances—by boosting domestic demand, implementing structural reforms to reduce precautionary savings by households and firms, and allowing greater exchange rate flexibility. Arrangements such as the IMF's liquidity facility sans conditions, and the bilateral and multilateral foreign exchange swap agreements (such as the Chiang Mai Initiative) might reduce the surplus countries' need to hold excessive foreign exchange reserves going forward.

Nouriel Roubini is chairman and co-founder of RGE, a New York-based financial consultancy.

Senior Analyst Arpitha Bykere handles South and South-east Asia for RGE.



THE CURRENT CENTURY MAY well be termed by historians as the century of Asia's renaissance.

PRANAB MUKHERJEE
FINANCE
MINISTER, INDIA